APEX ANALYTICX

CUSTOMER RETENTION ANALYSIS

Client Summary

Prepared for	E-Commerce Business Leadership
Prepared by	Mohammad Ammar — Apex AnalyticX
Engagement	Customer Cohort Retention Analysis (Project 3 of 4 — E-Commerce Customer Intelligence Series)
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The Question We Set Out to Answer

Every growing e-commerce business eventually asks the same question: *"Are we actually building a loyal customer base, or are we just spending more to keep the lights on?"*

You asked us to look past top-line order volume and answer it directly: **are customers coming back to buy again — and if not, why not?**

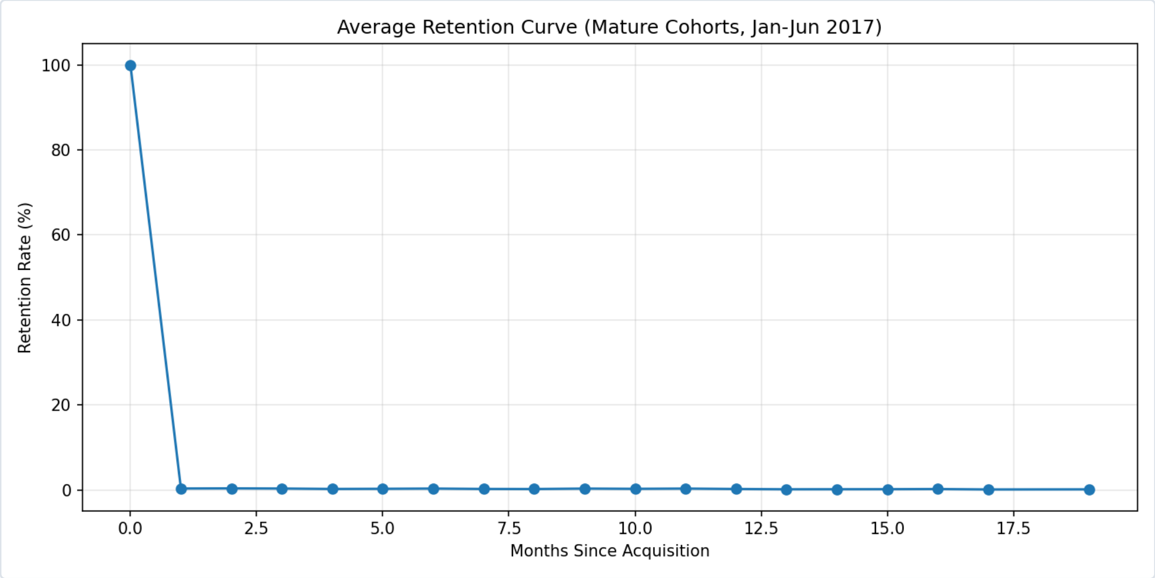
What We Found

We tracked **~95,560 customers** across **23 monthly "cohorts"** — groups of customers grouped by the month of their very first purchase — from **September 2016 through August 2018**. For each cohort, we measured how many customers came back to buy again, month by month, for up to 19 months afterward.

The result was stark and consistent:

> **On average, only 1 in 300 customers (0.33%) makes a second purchase within a month of their first order. Not one single cohort, in any month we measured, ever crossed 0.65% retention — even a full year later.**

This held true whether we looked at small early cohorts (762 customers in January 2017) or the much larger cohorts the business scaled to by 2018 (6,000–7,000+ customers per month). **Growing the customer base did not fix the problem — it just meant more customers were experiencing it.**



Average retention by month since first purchase — the curve stays under 0.4% throughout and never recovers.

To be clear about what this is *not*: this isn't a normal "some customers churn eventually" pattern that most retail and subscription businesses see. It's a near-complete absence of repeat purchasing across the entire customer base, from month one onward.

Why This Matters to Your Business

Right now, the business is functioning almost entirely on **one-time transactions**. Nearly every dollar of marketing and acquisition spend has to pay for itself within a customer's *first* order — because there's essentially no second order to help cover that cost later.

This has two consequences worth sitting with:

1. **Growth is fragile.** The order volume increase we saw from 2017 to 2018 (43,468 → 51,792 new customers, roughly 8x cohort-size growth from the earliest months) was driven entirely by new-customer acquisition, not by an expanding base of repeat buyers. If acquisition ever slows or gets more expensive, there is no repeat-purchase engine to fall back on.
2. **There is a large, currently untapped opportunity.** Because the retention baseline is so low, even a small, realistic improvement represents an outsized win. Moving month-1 retention from 0.33% to just 2% — still a modest number by e-commerce standards — would mean roughly **six times as many repeat buyers** coming from customers you've *already paid to acquire*, at a fraction of the cost of finding new ones.

What We Recommend

We recommend starting small, cheap, and fast — not a large re-platforming effort — because the data points to a specific, addressable window rather than a vague, business-wide problem.

1. Launch a first-60-day re-engagement campaign. Target every first-time buyer with an automated email or discount offer between **day 15 and day 45** after their purchase — before they've fully disengaged. This is the single highest-leverage move available: it's low-cost, fast to test, and targets the exact window where the data shows any repeat-purchase behavior is concentrated.

2. Find out *why* — before spending more on acquisition. A retention rate this low, this consistently, usually points to a specific friction point rather than general customer dissatisfaction — most commonly delivery experience, inconsistent seller quality, or customers treating the platform as a one-off rather than a habit. We recommend a focused round of customer research (surveys, support ticket review, delivery-time analysis) to pinpoint the cause before investing further in growth.

3. Make retention a number leadership watches every month. Right now, order volume can grow while retention stays broken — and nobody would necessarily notice, because the topline number still looks healthy. We recommend adding month-1 and month-3 retention rate to your regular reporting, cohort by cohort, so this is never invisible again.

What Success Looks Like

If the recommendations above are implemented, we'd expect to see:

- A measurable, visible increase in month-1 retention within the first 2 cohort cycles (roughly 2 months) of launching the re-engagement campaign
- A specific, named root cause (or short list of causes) identified from the research phase, with a clear owner assigned to fix it
- Retention becoming a standing line item in monthly business reviews — not a one-off finding in a report

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What We'd Need to Go Deeper

This analysis was built from order and customer transaction data alone. To move from *"customers aren't returning"* to *"here's precisely why, and here's the fix,"* we'd want access to:

- Delivery time and delivery-experience data (late/damaged/lost order rates)
- Seller-level quality and consistency metrics
- Any existing marketing/CRM campaign history, so we can rule out "no one ever asked them to come back" as the answer

We're glad to scope that next phase whenever you're ready.

Prepared by Mohammad Ammar — Apex AnalyticX — analytics-driven decisions, not just dashboards.
Full technical methodology, data sources, and detailed findings available in the accompanying Executive and Management reports.